

Deer velvet in South Korea (1st quarter 2023)

Reported on 18th of April 2023

1 Quarantine statistics of deer velvet from major export countries¹

1.1 Dried velvet

Dried velvet (kg)								
Country	2016	2017	2018	2019	2020	2021	2022	2023 (~Mar)
New Zealand	33,554	61,815	78,410	44,535	37,811	24,369	39,655	14,137
China	68,902	61,972	74,117	69,716	77,990	72,634	89,569	13,775
Russia	34,275	50,989	42,132	46,450	54,042	55,986	43,896	3,502
Hong Kong	23,115	11,293	15,402	17,828	13,701	22,372	23,835	1,560
Kazakhstan	1,390	1,081	1,270	701	2,354	1,428	2,097	184
Total	161,272	187,198	211,410	179,782	185,931	176,842	199,086	33,163

1.2 Frozen velvet

Frozen velvet (kg)								
Country	2016	2017	2018	2019	2020	2021	2022	2023 (~Mar)
New Zealand	88,922	64,809	81,365	99,113	77,477	91,874	116,584	50,490
China	22	68	6	10		2		
Russia	3		3					
Total	88,985	64,900	81,380	99,124	77,477	91,877	116,591	50,490

1.3 Rolling year

Dried velvet (kg)			Frozen velvet (kg)		
Country	Apr 2021 -	Apr 2022 -	Country	Apr 2021 -	Apr 2022 -
	Mar 2022	Mar 2023		Mar 2022	Mar 2023
New Zealand	26,376	43,869	New Zealand	123,867	105,006
China	66,301	92,114	China	1.6	

Russia	54,357	45,837	Russia		
Hong Kong	34,795	9,772	Hong Kong		
Kazakhstan	1,428	2,281	Kazakhstan		
Australia	41	30	Australia	0.9	0.7
USA	5	1.6	USA	1.3	
Others	3	0.1	Others		4.7
Total	183,307	193,455	Total	123,871	105,011

2 Korean news

2.1 Suffering by skin illness due to medicine with deer velvet

A consumer who developed a skin disease after taking herbal medicine demanded compensation from an oriental medicine doctor. The consumer visited an oriental medical clinic to strengthen his physical strength and improve fatigue. While being prescribed herbal medicine by an oriental medicine doctor, the consumer had previously been treated with psoriasis and asked to remove deer velvet because they were not suitable for the constitution, but the doctor manufactured medicine containing deer velvet, saying that they helped improve physical strength.

However, the consumer suffered with psoriasis and claimed 50 million won in damages to the oriental medicine doctor, saying he suffered damage after eating herbal medicine manufactured by the doctor. The Medical Dispute Mediation and Arbitration Agency said that **the oriental medical doctor is obligated to compensate for damages because he is responsible for the consumer's worsening psoriasis**. Taken together, the oriental medicine doctor is negligent in prescribing herbal medicines, including deer velvet. Consumuch, 2023-01-04¹

2.2 Chunho N Care "we will become a leading health food brand in Vietnam."

Chunho N Care announced in December that it held a "2nd Anniversary Celebration of Vietnam's Launch." The event was held to commemorate a 300% increase in Vietnam's export performance in 2022 compared to 2021, and awards ceremony.

Cheonho Ncare entered the Vietnamese market in December 2020 and is exporting more than 70 kinds of products from 40 Vietnamese stores.

In particular, Pear & Doraji Juice, which contains children's health juice, pears and bellflower, and "Strong Nokyong Hongsam," which adds orange concentrate to Korean red ginseng and deer velvet, are drawing keen attention locally. In addition, individual pouch packages with convenience are considered the key to increasing popularity.



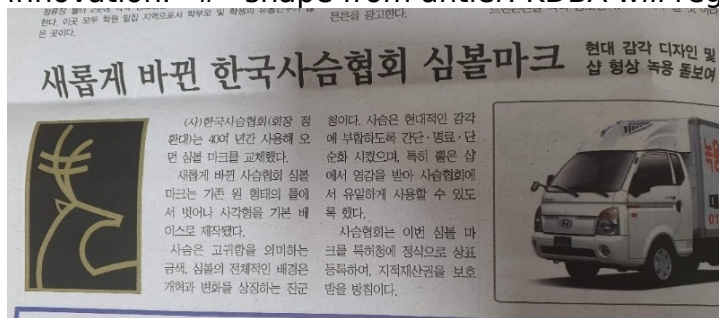
K-health, 2023-01-05²

¹ <https://www.consumuch.com/news/articleView.html?idxno=58017>

² <https://www.k-health.com/news/articleView.html?idxno=63026>

2.3 KDBA new logo

KDBA changed its CI logo to new design. Gold colour for novelty, dark blue for innovation. “#” shape from antler. KDBA will register this for trademark.



The Korea Deer Times, 2023-01-10

2.4 Deer velvet plus red ginseng ' JeongGwanJang CheonNok ' for all family

***These advertorial covers more than 25 media weeks before the Lunar New Year holiday.**

The KGC recommended "Jeonggwanjang Cheonnok" as a Lunar New Year gift. Cheonnok means "a precious deer antler from heaven," and uses only the highest grade (SAT) antlers guaranteed by the New Zealand government. On top of that, Jeonggwanjang's technology, which has eight patent technologies related to deer velvet, and eight steps of thorough raw material management standards will be added to create "Jeonggwanjang Chunnok."

Chunnok has increased consumer convenience in various forms. Cheonnokjeong is a concentrate product containing deer velvet and red ginseng, and Cheonnokjeongpyeon is a product made in the form of a stick so that you can easily consume Cheonnokjeong. In addition, "Cheonnokton" is a liquid pouch type made by adding Sukjihwang, Guija, and Danggwai with deer velvet and red ginseng as the main ingredients, and "Cheonnokganghwan" is a ball type that is easily chewed in individual packaging.

There is also Cheonnok W, a customized deer velvet product for women. Since ancient times, four traditional ingredients that have been raised at the palace for the health of the queen, Sukjihwang, Peonyak, Cheongung, and Dangwi's object, and Yeonjyuk, Yaksu, Ikmocho, and Solsak, which are specialized for women, have expanded the choice for female customers' Recently, it also released a male customized environment type product called "BESTRONG." Chunnok Beastrong is a perfect product for men who want to quickly fill deep vitality by putting representative ingredients of stamina such as red ginseng, maca, raspberry, and deer tail in the best SAT deer velvet.

Meanwhile, KGC will hold a "Gift Health in the New Year" promotion that provides various purchase benefits until the 25th to mark the Lunar New Year.



Seoul EN, 2023-01-12³

2.5 Red ginseng that you got from Seol-nal, you can't sell it at TradeMe!

After the Lunar New Year holiday, several posts have been confirmed on the secondhand trading platform to sell health functional foods. However, **health functional foods such as red ginseng and vitamins are prohibited from being traded between individuals**, so be careful. If you violate this, you may be fined up to 50 million won.

This is because consumers may suffer from incorrect information, such as unauthorized sellers falsely listing and selling food functions.

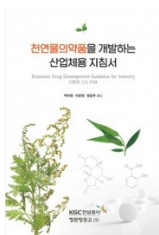
However, it is sometimes classified as a general food such as red ginseng candy or red ginseng jelly. If there is no "health functional food certification mark" on the product packaging, it is classified as a general food and can be sold if it is not opened.

Economist, 2023-01-24⁴

2.6 KGC publishes a translation of the U.S. ' Botanical Drug Guidance for Industry'

KGC Ginseng Corporation has published a Korean translation of the U.S. FDA's guideline on the registration of natural medicines, "Botanical Drug Guidance for Industry," for industries developing natural medicines.

Jang Il-moo, an honorary professor at Seoul National University's College of Pharmacy, Park Mi-young, a Ph.D. in Pharmacy, and Lee Joon-young, a senior researcher at KT&G, participated in the translation.



Think Food, 2023-01-30⁵

2.7 KVIE launched New Zealand 'Golden label deer velvet'

KVIE, Korea Velvet Import Export a.k.a HanPure, launched the **Golden Label Deer Velvet** which were carefully selected for upper part of New Zealand velvet.

³ <https://en.seoul.co.kr/news/newsView.php?id=20230111500227>

⁴ <https://economist.co.kr/article/view/ecn202301240013>

⁵ <http://www.thinkfood.co.kr/news/articleView.html?idxno=97066>

The selection applying the seven-steps of quality control standards by KVIE using **100% New Zealand's top SAT grade deer velvet.**

Alex Chung, CEO of KVIE, said, "The trend of preference on Russian has recently changed to prefer New Zealand velvet" "This trend is partly because of the current difficulty in supplying Russian velvet due to the Ukrainian war and the exchange rate, however it is also due to the industry's confidence in the way **New Zealand deer are raised, the stability and quality of supply,**" he explained.



Seoul News, 2023-02-06⁶

2.8 Foreign deer that threatens the ecosystem of Halla Mountain

According to the National Institute of Forest Science, Japanese sika deer, Taiwanese sika deer and Chinese red deer that escaped from deer farms in the 1990s have settled in Hallasan Mountain.

Foreign deer are destroying native ecosystem and biodiversity by eating rare plants and trees around Halla Mountain.



The Korea Deer Times, 2023-02-10

2.9 Yuhan Care, research on immunity materials for HFF using deer velvet.

It is said, Yuhan Care recently completed a human clinical test to evaluate the effectiveness and safety of deer velvet extracts on improving immune function of human body.

The researchers conducted a test on about 120 adult men and women with weakened immunity between the ages of 40 and 70 in Korea.

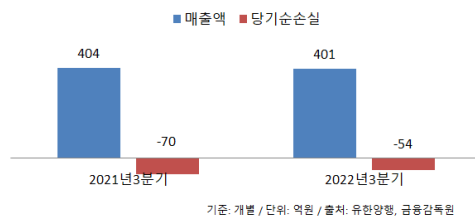
It is analyzed that **Yuhan Care conducted this to secure its individual HFF ingredient registration.**

Individually recognized HFF ingredients are certified by the Ministry of Food and Drug Safety for their functionality, and only certified operators can manufacture or sell them, resulting in a kind of monopoly.

Meanwhile, Yuhan Care cumulative sales in the third quarter of last year (January to September) recorded KRW 40.1 billion and a net loss of KRW 5.4 billion. Sales fell 0.7% year-on-year, but net losses for the current term fell by 1.6 billion won.

⁶ <https://www.seoul.co.kr/news/newsView.php?id=20230206500668>

유한건강생활 3분기 누적 실적 현황



CEO Score Daily, 2023-02-17⁷

2.10 A product for targeting pet owner and its pet too.

J.J. Bio Co., Ltd. has released "Narang Pet," a liquid product that can be eaten by humans and pets together.

Narangpet was developed by an oriental medical doctor and is said to help with eye and bone health by extracting major ingredients such as deer velvet, pumpkins and many other traditional herbal ingredients.

You can feel a bond while sharing the product with your pet and even feel the warmth of a family sharing food together, so you can enjoy the effect of killing two birds with one stone.



E Daily, 2023-02-19⁸

2.11 Heo Chul-ho, CEO of KGC, who is working hard in China to transform into an "End-emic".

Huh Chul-ho, CEO of KGC Ginseng Corporation, recently visited Jilin, Shanghai and Shenzhen, China, for a 10-day visit. He held talks with "Hanjun," the chief secretary of Jilin Province and the secretary of Jilin Province, and "Hujappu" of the Yanbian Autonomous Prefecture Committee. At the meeting, they discussed various cooperative measures to help ginseng achieve qualitative development in various fields such as food, dry food, medicine, and cosmetics.

During the talks, **CEO Huh requested the designation of red ginseng as a health food item and the adoption of national standards for red ginseng.** It also suggested that Yanbian Province be designated as a national free trade zone so that foreign-invested companies can process traditional Chinese medicine. **It also emphasized the need for deregulation related to the designation of food ingredients for deer velvet and discussed the commercialization of KGC Ginseng Corporation's deer velvet product, CheonNok, in China.**

Since then, he has held meetings with the presidents of local pharmaceutical distributors, "Hwarun Samgu," "Bokseong Group," "Donggwan National Pharmaceutical," and "Donga Bridge." We will discuss with them in earnest to expand the ginseng market in China, such as product cooperation and entry into new distribution.

Meanwhile, according to the announcement of operating performance announced on the 9th, KGC Ginseng Corporation's overseas sales last year

⁷ <https://www.ceoscoredaily.com/page/view/2023021613350681424>

⁸ <https://www.edaily.co.kr/news/read?newsId=01357926635512160>

increased 8% year-on-year to KRW 2017 billion. This is due to the expansion of exports and due to the increase in local demand in major foreign countries. It increased 21% to 75.1 billion won in the fourth quarter, offsetting the previous slump. Exports in the fourth quarter were led by four major corporations: China, the United States, Japan, and Taiwan. The Chinese market saw its sales rise 18% year-on-year due to increased demand after the lifting of the Shanghai blockade. In the case of the U.S., the sales of red ginseng sources in online and large discount stores increased by 30%, while Taiwan and Japan increased by 23% due to the launch of new products and the expansion of local distribution networks.



Money Today, 2023-02-21⁹

2.12 Korea Deer Breeders Association

On the 14th of February, Korea Deer Breeders Association held a general meeting and elected Mr Lee Hae-gon, CEO of Seoseng Elk Deer Farm in Ulsan city, as the new chairman. The association set this year's annual budget at KRW 180 million (NZD 221,653) which is similar to last year's budget.



Chuksan News, 2023-02-24¹⁰

The Livestock Economic News, 2023-02-17¹¹

2.13 Famous traditional doctor sells products not indicated in deer velvet content

The Ministry of Food and Drug Safety announced that it has cracked down on illegal activities such as deceiving the content of raw materials such as Cheonma, deer velvet, and red ginseng. Nine companies, including LEO LeeGyungJae, Pungsan, Gyeongbuk Agricultural and Livestock Farming Association, Sancheong Jirisan Yakcho Farming Association, Cheonmosan Organic Farming Association, Piji Biotechnology Research Institute, Cosmax Bio, distribution specialized sales, and Korea Sansam Corporation, etc. In particular, in order to hide a small amount of raw materials, it was found that the product was sold by marking only "90% of Cheonma extract," "90% of deer velvet extract," and "domestic live deer velvet" on the main surface of the product without indicating solid or mixture content.

LEO LeeGyungJae was caught on charges of selling products that violate labeling standards by selling products that do not contain deer velvet, such as "I-Nokyoung Growth," other processed products made from deer velvet fermented

⁹ <https://news.mt.co.kr/mtview.php?no=2023022108575796403>

¹⁰ <http://www.chuksannews.co.kr/news/article.html?no=253529>

¹¹ <http://www.chukkyung.co.kr/news/articleView.html?idxno=66531>

concentrated powder.



Sisa On, 2023-03-10¹²

Food News, 2023-03-09¹³

2.14 LEO LeeGyungJae Lee Economic Emperor Nokyeongdan Launches Renewal

LEO LeeGyungJae announced that the Emperor Nokyeongdan has been renewed and released. It has changed from the existing paper box package to wooden box to improve the quality. The product that combines 29 traditional ingredients (Yeongji, Bokryeong, Dangwi, etc.) including domestic red ginseng and New Zealand velvet which harvested at 60th days of growth antler.



Star Daily News, 2023-03-11¹⁴

2.15 Jaseng, Patent for Immune Enhancement Composition Using Deer velvet Extract

The use of Exosomes separated from deer velvet has proven to be effective in activating immune cells and promoting antiviral and anti-inflammatory effects.

Jaseng Oriental Medicine Hospital's Spine Joint Research Institute announced that it has acquired a patent by developing the first composition for **immune enhancement using Exosome of deer velvet**. Exosomes refer to nano-sized cystic particles that certain cells secrete externally to transmit signals to other cells. In this patent, Exosomes extracted from bungol(tips), where deer velvet's growth points are concentrated, were used.

The patented deer velvet Exosome composition has been found to increase the level of interferon gamma (IFN- γ) involved in the activation of immune cells, resulting in anti-cancer and antiviral enhancement effects. It has also been proven to enhance immunity by promoting the expression of Interleukin-10 (IL-10), an immune protein that regulates inflammatory levels in the body.

Dr. Park Du-ri said, "This patent is very significant in that it increases the reliability of future studies related to the immune enhancement effect of deer velvet Exosomes."

¹² <https://www.sisaon.co.kr/news/articleView.html?idxno=148200>

¹³ <https://www.foodnews.co.kr/news/articleView.html?idxno=101352>

¹⁴ <https://www.stardailynews.co.kr/news/articleView.html?idxno=409918>

Health In News, 2023-03-20¹⁵

2.16 Pyeongsan Nature Jin Kyung-ok Renews to Celebrate 10th Anniversary

The product packed in a sachet, but in order to create a compressive concentration, it insists on **manufacturing it in a traditional jar method** without adding additional moisture other than the moisture contained in the raw material and double-hot it with a 60L jar. It is a product that shows qualitative differences from mass-produced products.

Due to the nature of the production method called the medium hot water, the heat energy transferred to the raw material is constant in the modern mass production method, so the larger the medium hot water, the more broken the outer width and volume ratio.

An official said, "Our Jin Kyung-ok contains Russian deer velvet, which are the best. **No compromised with New Zealand despite the difficulty of supplying deer antlers due to the war**"



JeonMin Ilbo, 2023-03-29¹⁶

¹⁵ <https://www.healthinnews.co.kr/news/articleView.html?idxno=36372>

¹⁶ <https://www.jeonmin.co.kr/news/articleView.html?idxno=375626>

3 News related with product launching

3.1 Korean Agricultural Cooperative, Re-floral and Smart & Strong

Brand <Product name>	NongHyup Nogyeong Re-floral		
Company/Manufacturer	Rabbit & Deer Agricultural Cooperative / GimpoPaju NongHyup		
Volume and type	2,400ml (80ml x 30 pouches)	Price in KRW	150,000
Product category	Health Functional Food	Other ingredients	Red ginseng, other herbal additives
Deer velvet %	1.25% as extract liquid	Origin of velvet	Korea
Note: HFF as red ginseng products			
Brand <Product name>	NongHyup Nogyeong Smart & Strong		
Company/Manufacturer	Rabbit & Deer Agricultural Cooperative / Cosmax Bio		
Volume and type	750g (25g x 30 pouches)	Price in KRW	114,000
Product category	Health Functional Food	Other ingredients	Red ginseng, Zinc
Deer velvet %		Origin of velvet	Korea

The Korea Rabbit & Deer Agricultural Cooperative launched two new products as the result of functional deer velvet research. They are two products: "Smart & Strong" for teenagers using Korean deer velvet and "Re-floral" for women in their 40s and 60s. It is the first time that Korean deer products have been researched and developed with government support, according to Chung Hwan-dae, chairman of the Deer Association.



The Korea Deer Times, 2022-12-25

3.2 Josun Bichaek, Josun HwangRim Hyo

Brand <Product name>	Josun Bichaek Josun HwangRim Hyo		
Company/Manufacturer	Healthy People / Neisense Bio		
Volume and type	120g (4g x 30 balls)	Price in KRW	169,000
Product category	Unknown	Other ingredients	Argawood, Angelica etc
Deer velvet %	20% of Russian velvet 2% of HY (Korea Yakult's) fermented velvet from New Zealand	Origin of velvet	Russia, New Zealand

Josun Bichaek announced that it has acquired a new patent for a method of manufacturing 'argawood' that can increase absorption in the body. The

'fermentation method' of Chosun Biobook, which introduces lactobacillus, effectively absorbs nutrients into the body through aging fermentation for 120 hours after mixing.



Segye Biz, 2023-01-30¹⁷

3.3 Sejong Bio, 100 years Sejong

Brand <Product name>	100 years Sejong, Wild Ginseng Nokyoung Argawood Balls		
Company/Manufacturer	Sejong Bio / Gyeong-ju SangYak		
Volume and type	Unknown	Price in KRW	169,000
Product category	Processed food, others	Other ingredients	Wild Ginseng, Argawood etc
Deer velvet %	12% of tips	Origin of velvet	Russia

Sejong Bio Co., Ltd. announced that it has launched a 100 years 'Wild Ginseng Nokyoung Argawood Balls', a health functional food tailored to the middle-aged. It said that three main ingredients (seven-year-old domestic wild ginseng, Russian Altai deer velvet tips, and other 100% natural dried argawoods) were made as the main ingredients, and seven additional ingredients were made in one grain without food additives. 100-year-old Sejong is a 24K pure gold foil packaging with 99.9% purity, which prevents the calming of gold itself and the loss of medicinal effects and moisture evaporation over time, so high absorption rates can be expected.



Incheon Ilbo, 2023-03-07¹⁸

3.4 NutriCore, Balhyo Chimhyung Nokyoung

Brand <Product name>	NutriCore, Balhyo Chimhyung Nokyoung		
Company/Manufacturer	SL Biotech / DaeDong KoryeoSam		
Volume and type	600g (10g x 60 pouches)	Price in KRW	199,000
Product category	Liquid tea	Other ingredients	Argawood
Deer velvet %	Fermented Velvet	Origin of	New Zealand

¹⁷ <http://m.segyebiz.com/newsView/20230130510781>

¹⁸ <http://www.incheonilbo.com/news/articleView.html?idxno=1184567>

	extract (Solid contents 20.5%)	velvet	
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Supplements brand Nutricore has launched "fermented acupuncture antlers" that have increased absorption rate through lactobacillus fermentation.

It is characterized by maximizing the absorption rate in the body by fermenting and concentrating deer antlers and acupuncture with lactobacillus. Each package contains more than 60µg of ganglioside (sialic acid), a key ingredient of deer antlers.

Nutricore said the raw material also used only deer naturally grazed and raised in New Zealand, a clean country, and only genuine deer velvet that were officially imported and cleared in accordance with the regulations of the New Zealand Deer Association DINZ. In the case of argawood, Indonesian genuine, which has been officially imported and customs cleared as a CITES agreement item, was carefully used, and in addition, Chamdangwi, Sansuyu, and Sukjihwang, which go well with acupuncture and deer antlers, were mixed as domestic ingredients.

Nutricore, on the other hand, did not use additives such as dextrin and synthetic perfumes that increase viscosity when making fermented deer velvet, and added only composite concentrates for fermentation and deer antlers without adding purified water.



MunHwa News, 2023-03-27¹⁹

Appendix I. Spreadsheets supplied separately

Import statistics Korean import statistics for deer velvet.xlsx	Biosecurity pass recording not HS Code based trade records. Source is Animal and Plant Quarantine Agency (농림축산검역본부 ²⁰)
Imports list Korean imports list for deer velvet.xlsx	Number of trade recording by food importers and products they imported. Source is Imported Food Information Maru website (수입식품정보마루 ²¹)
Food products Deer velvet food products in Korea.xlsx	Accumulated food product list over recent years. Based on various news article about product launching mostly supplied originally by the brand owner as a press release activity.

¹⁹ <https://www.mhns.co.kr/news/articleView.html?idxno=550224>

²⁰ <http://eminwon.qia.go.kr/statistics/> (품목-국가별 수출입현황)

²¹ <https://impfood.mfds.go.kr/CFCCC01F01>

